Quillwood Credit Partners

Origination and credit | Internal working paper

Corporate Lending Policy

Version 2.0, effective 1 January 2026

Prepared by Quillwood Credit Partners

Version 2.0

Effective 1 January 2026

For use by the Investment Committee and credit team

Reference: QCP-CLP-002

Date: 1 January 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

Document	Corporate Lending Policy
Version	2.0
Effective date	1 January 2026
Prepared by	Quillwood Credit Partners, Credit Risk function
Prepared for	Investment Committee, origination and portfolio management teams
Supersedes	Corporate Lending Policy version 1.x
Policy owner	Chief Credit Officer
Next scheduled review	1 January 2027

Document control

1. Purpose and scope

1.1 This policy sets out the minimum credit standards that Quillwood Credit Partners (QCP), an Australian private credit manager, applies when originating, underwriting, approving and monitoring senior corporate loans on behalf of the funds and mandates it manages.

1.2 The policy applies to every corporate lending transaction, including new facilities, refinancings, amendments that increase exposure, and the acquisition of loans in the secondary market. It applies to term loans, acquisition and capital expenditure facilities, revolving facilities and recurring-revenue loans.

1.3 The policy does not apply to real estate development finance, asset-backed warehouse facilities or consumer lending. Those activities are governed by separate policies.

1.4 The policy is a floor, not a target. Meeting every limit in this document does not by itself justify an approval. Each transaction must also satisfy the Investment Committee that the borrower can repay from its own cash flow under a reasonable downside case.

2. Governance and approval

2.1 All corporate lending transactions require approval by the Investment Committee (IC) before any commitment letter, term sheet acceptance or funding. Indicative term sheets issued before approval must state that they are non-binding and subject to credit approval.

2.2 The origination team may not approve, or imply approval of, any transaction. The credit team prepares an independent IC paper for each transaction, and the analyst and the approver must be different individuals.

2.3 Approval authority is set by the size of QCP's total commitment to the borrower group, as shown in Table 1.

Total commitment	Approving body	Minimum quorum
Up to A$25 million	Investment Committee	3 members
Above A$25 million to A$60 million	Investment Committee	4 members incl. Chief Credit Officer
Above A$60 million	Investment Committee, with notice to the Board	5 members incl. Chief Credit Officer

Table 1: Approval authority by commitment size

2.4 Approval requires a majority of the quorum and the affirmative vote of the Chief Credit Officer. A negative vote by the Chief Credit Officer operates as a veto that can be overturned only by the Board.

2.5 Conflicts of interest must be declared in the IC paper. Any member with a personal or commercial interest in the borrower, its sponsor or its advisers must be excused from the vote.

3. Eligible borrowers and transactions

3.1 An eligible borrower is an operating business that is incorporated or resident in Australia or New Zealand, or a group whose principal operating assets and cash flows are located there. Offshore borrowers require a documented exception under clause 14.

3.2 The borrower must have at least three years of operating history, or a credible predecessor business with audited or reviewed financial statements covering that period.

3.3 The borrower group must be able to give first-ranking security over substantially all of its assets, with guarantees from all material subsidiaries. Material subsidiary means any entity contributing 5% or more of group EBITDA or gross assets.

3.4 QCP will lend only to borrowers whose principal purpose is one of the following:

- refinancing existing senior debt
- funding an acquisition, subject to clause 7
- funding capital expenditure or growth investment with a defined payback
- funding a shareholder transaction, such as a sponsor recapitalisation or management buyout
- providing working capital through a committed revolving facility

3.5 Facilities whose proceeds are used to fund dividends or distributions, other than as part of a shareholder transaction in clause 3.4, are not eligible unless the post-distribution leverage remains inside the limits in clause 4.

4. Leverage and interest cover

4.1 Senior leverage

4.1.1 Senior leverage is total senior debt, including drawn facilities, finance leases and any QCP commitment that is undrawn but available, divided by LTM Adjusted EBITDA at the proposed financial close. Cash held in excess of A$2 million may be netted only where it is held in a blocked or controlled account in favour of QCP.

4.1.2 Senior leverage at financial close must not exceed 4.0x LTM Adjusted EBITDA.

4.1.3 For a sponsor-backed transaction, senior leverage at financial close may be up to 5.0x LTM Adjusted EBITDA, provided the equity cushion is 40% or more. Equity cushion is the cash equity and shareholder-subordinated funding contributed to the transaction divided by total capitalisation (senior debt plus all subordinated debt plus equity), measured at the purchase price or the independently supported enterprise value, whichever is lower.

4.1.4 A sponsor is a professional private equity or infrastructure investor with a track record of at least three comparable investments, a committed fund or balance sheet able to support the borrower, and a history of constructive engagement with lenders. The credit team must record its assessment of the sponsor in the IC paper.

4.1.5 Where a sponsor-backed transaction has an equity cushion below 40%, the 4.0x limit applies. Subordinated debt provided by the sponsor counts toward the equity cushion only if it is fully subordinated, unsecured, payable-in-kind and subject to a standstill acceptable to QCP.

4.2 Interest cover

4.2.1 Interest cover is LTM Adjusted EBITDA divided by cash interest expense on all debt for the same period, calculated on a pro forma basis for the new facility at the all-in cash rate expected over the first twelve months. Where the facility is floating rate, the calculation must use the prevailing BBSW plus margin, with no credit taken for interest rate hedges that are not in place at close.

4.2.2 Pro forma interest cover at financial close must be at least 2.5x. This is a floor, not a covenant level. Covenant levels are set under clause 11.

4.2.3 The credit team must also test interest cover under a sensitivity in which the reference rate is 150 basis points higher than at close and base-case EBITDA is 15% lower. The sensitised interest cover must remain above 1.5x, or

the IC paper must explain why the loan remains acceptable.

4.3 Summary of limits

Test	Standard	Sponsor-backed, equity 40% or more
Senior leverage (max)	4.0x	5.0x
Interest cover (min)	2.5x	2.5x
Minimum LTM EBITDA	A$5 million	A$5 million
Customer concentration trigger	Above 25%	Above 25%
Recurring-revenue loan (max)	1.5x ARR	1.5x ARR

Table 2: Core credit limits at financial close

5. Minimum earnings and size

5.1 The borrower group must report LTM Adjusted EBITDA of at least A$5 million at the proposed financial close. The floor applies to all facilities under this policy, including acquisition facilities and recurring-revenue loans.

5.2 Adjusted EBITDA means earnings before interest, tax, depreciation and amortisation, adjusted only for items that are non-recurring, non-cash or demonstrably unrelated to ongoing trading. Add-backs for cost savings, synergies or pro forma contributions are limited in aggregate to 15% of unadjusted LTM EBITDA, must be supported by identified actions, and must be tested in financial due diligence.

5.3 Where a borrower falls below the A$5 million floor, the transaction is outside this policy's standard appetite and may proceed only as a documented exception under clause 14. The IC paper must explain why the borrower's earnings profile is nonetheless suitable for senior secured lending.

5.4 Earnings must be supported by audited financial statements for the most recent two financial years and by management accounts for the current year to date. Where audited accounts are unavailable, a reviewed set prepared by an independent firm is required.

6. Customer concentration

6.1 Customer concentration is measured as the share of LTM revenue, and where relevant gross profit, attributable to a single customer or group of related customers. The credit team must report the top five customers in every IC paper.

6.2 Where any single customer group accounts for more than 25% of LTM revenue, the IC paper must identify and assess at least one mitigant. Acceptable mitigants include:

- a contract with a remaining term at least as long as the facility tenor, with no unilateral termination right other than for cause
- a credit-insured or investment-grade counterparty with a demonstrated history of payment
- high switching costs, such as integration into the customer's operations, regulatory accreditation or embedded specialised equipment
- a documented customer relationship exceeding five years with stable or growing volumes
- lower leverage than the applicable limit, set so that the loss of the largest customer does not breach the interest cover floor

6.3 The credit team must model the loss of the largest customer in the downside case. The IC paper must show the effect on EBITDA, leverage and interest cover, and the mitigants must be reflected in the pricing, covenants or structure of the facility.

6.4 Where a customer represents more than 40% of LTM revenue, a mitigant alone is not sufficient. The transaction requires the specific approval of the Chief Credit Officer and a structural protection such as a cash sweep triggered by loss of the customer or notice of non-renewal.

7. Acquisition facilities

7.1 Acquisition facilities include any loan, or tranche of a loan, used to fund the purchase of a business, shares or material assets, together with associated costs.

7.2 Every acquisition facility requires a financial due diligence report prepared by an independent firm. The firm must be a recognised accounting or advisory practice, must not be the borrower's statutory auditor, and must not receive a success fee contingent on the transaction proceeding.

7.3 The report must be addressed to, or capable of being relied on by, QCP under a reliance letter. The report must cover at minimum:

- quality of earnings, including the bridge from reported to adjusted EBITDA
- net debt and debt-like items
- working capital normalisation and seasonality
- cash conversion
- customer, product and contract analysis, including concentration
- the basis and support for any synergy or cost saving assumptions
- tax exposures and material contingent liabilities

7.4 QCP will size leverage using the lower of EBITDA in the due diligence report and EBITDA in the vendor or sponsor model. Any adjustment identified by the independent firm that reduces EBITDA must be reflected in the leverage calculation unless the Investment Committee records its reasons for disagreeing.

7.5 Funding for an acquisition may be advanced only after the credit team has reviewed the final report, any legal due diligence summary, and any material findings. Draft reports are not sufficient for approval where findings remain open.

7.6 Where an acquisition forms part of a larger buy-and-build programme, each tranche that funds an acquisition must satisfy this clause. Pro forma leverage after each acquisition must remain within the limits in clause 4.

8. Recurring-revenue loans

8.1 A recurring-revenue loan is a facility sized principally against annual recurring revenue (ARR) rather than historical EBITDA, typically for software, subscription or contracted services businesses.

8.2 Total senior debt under a recurring-revenue loan must not exceed 1.5x ARR at financial close. This limit is in addition to, and not in substitution for, the requirements in clauses 4 and 5.

8.3 ARR must be calculated on contracted, recurring, subscription-type revenue only, annualised from the most recent month and tested against signed customer contracts. ARR excludes one-off implementation fees, hardware sales, usage fees without a committed minimum, and revenue from customers in payment default or in notice of termination.

8.4 The credit team must report in the IC paper:

- gross and net revenue retention over the prior 24 months
- logo churn and the age profile of the customer base
- contract terms, notice periods and renewal dates
- ARR by customer and the concentration tests in clause 6
- capitalised development costs and their treatment in EBITDA

8.5 Loan documents must include a minimum ARR covenant, and a minimum liquidity covenant. Margin step-ups and mandatory prepayment must apply if net revenue retention falls below the level set at approval.

9. Sector policy

9.1 General

9.1.1 QCP lends across a range of sectors but applies additional scrutiny where sector regulation, funding models or social impact materially affect credit risk. Table 3 summarises the treatment of the principal sectors.

Sector	Treatment	Additional requirement
Healthcare	Permitted	Regulatory review
Aged care	Permitted	Regulatory review
Professional services	Permitted	Key person analysis
Thermal coal mining	Prohibited	None, not eligible
Tobacco manufacture	Prohibited	None, not eligible
Controversial weapons	Prohibited	None, not eligible

Table 3: Sector treatment (principal sectors)

9.2 Healthcare and aged care

9.2.1 Any loan to a borrower that derives 25% or more of revenue from healthcare or aged care services requires a regulatory review before IC approval. The review must be completed by the credit team with legal input, and may be supported by an external adviser.

9.2.2 The regulatory review must address:

- licences, accreditation and registrations held, their expiry dates and transferability on enforcement
- history of compliance notices, sanctions, audits and complaints, including those of regulators such as the Aged Care Quality and Safety Commission or the Australian Health Practitioner Regulation Agency where relevant
- dependence on government funding, rebates or subsidies, including Medicare, the National Disability Insurance Scheme and aged care funding instruments, and the exposure to announced or foreseeable policy change
- workforce requirements, including staffing ratios, award compliance and reliance on agency labour
- the effect of regulatory action on enforcement, including whether the security can be realised and the business operated by a receiver or purchaser
- resident or patient deposits, accommodation bonds and other client monies, and the priority of those claims

9.2.3 Loan documents for these borrowers must include a covenant to maintain all material licences and approvals, an information undertaking requiring prompt notice of any regulatory investigation or sanction, and an event of default for loss or suspension of a material licence.

9.2.4 Aged care borrowers that hold refundable accommodation deposits must demonstrate compliance with prudential requirements, and QCP must be satisfied that its security ranks appropriately against those obligations. Facilities must be sized after treating any amount that would rank ahead of QCP as a deduction from enterprise value.

9.3 Prohibited sectors

9.3.1 QCP will not lend to, or acquire exposure to, a borrower whose principal business, or whose business generating 10% or more of group revenue, is any of the following:

- thermal coal mining or thermal coal-fired power generation
- tobacco manufacture or the production of vaping products containing nicotine
- controversial weapons, including cluster munitions, anti-personnel mines and chemical, biological or nuclear weapons
- adult entertainment and pornography
- payday lending and other short-term, high-cost consumer credit

- unlicensed or unregulated digital asset trading, custody or lending
- any activity that is unlawful in the jurisdiction of operation, or that involves a person subject to Australian or applicable international sanctions

9.3.2 Prohibited sector status is determined at origination and re-tested at each annual review. A borrower that becomes a prohibited borrower after funding must be placed on the watchlist, and the portfolio manager must submit a plan for exit to the Investment Committee within 30 days.

9.3.3 The prohibitions in this clause cannot be waived under the exception process in clause 14.

10. Security and documentation

10.1 Each facility must be senior secured by a first-ranking general security agreement over all present and after-acquired property of the borrower and each guarantor, supported by cross-guarantees and indemnities. Where real property is material to value, first-ranking mortgages are required.

10.2 Where the borrower has other secured lenders, the ranking, intercreditor terms and any standstill must be documented. QCP will not accept a second-ranking position in any facility approved under this policy.

10.3 Documentation must be based on the QCP standard facility agreement, or on an LMA-style or APLMA-style document with QCP's required amendments. Departures from the standard form are listed in the IC paper.

10.4 Legal counsel is engaged by QCP and not by the borrower. Lawyers' reports must cover title and security perfection, searches on the Personal Property Securities Register, corporate authority and the enforceability of guarantees.

10.5 Insurance cover must be maintained over all material insurable risks, with QCP's interest noted. Key person insurance is required where the credit relies on one or two named individuals.

11. Financial covenants and reporting

11.1 Each facility must include at least two maintenance financial covenants tested quarterly: a maximum senior leverage ratio and a minimum interest cover ratio. Additional covenants, such as minimum liquidity or minimum ARR, are required where clause 8 or the IC paper so provides.

11.2 Covenant levels must be set with headroom to the approved base case of not less than 25% on EBITDA. The covenant on senior leverage must step down over the term where the base case shows deleveraging.

11.3 The minimum interest cover covenant must be set no lower than 2.0x, which is below the 2.5x closing floor in clause 4.2.2 to allow for headroom, and must be tested on a rolling twelve month basis.

11.4 Equity cure rights, where granted, are limited to two exercises in any four consecutive quarters and four over the life of the facility. Cure amounts must be applied to EBITDA only, and not to reduce debt for the purposes of the test.

11.5 Borrowers must deliver the following to QCP:

- audited annual financial statements within 120 days of financial year end
- quarterly management accounts and a compliance certificate within 30 days of quarter end
- an annual budget approved by the board, within 30 days before the start of the financial year
- prompt notice of any default, litigation above a materiality threshold, regulatory action, or loss of a major customer

12. Portfolio limits

12.1 Concentration limits apply to each fund and mandate in addition to the credit limits above. Unless the fund's own documents set a lower limit, the limits in Table 4 apply.

Exposure	Limit	Basis
Single borrower group	10%	Fund commitments
Single sector	25%	Fund commitments
Healthcare and aged care combined	20%	Fund commitments
Single sponsor	15%	Fund commitments
Facilities above 4.0x leverage	30%	Fund commitments

Table 4: Portfolio concentration limits

12.2 Facilities approved at leverage above 4.0x under the sponsor-backed provision in clause 4.1.3 count toward the 30% limit above.

12.3 The portfolio manager reports limit utilisation to the Investment Committee each quarter. A breach arising from market movement, repayment elsewhere in the portfolio or fund drawdown timing must be reported within five business days with a plan to return within the limit.

13. Monitoring and watchlist

13.1 Each loan is assigned an internal risk rating at approval and reviewed at least annually, or sooner upon a trigger event. Trigger events include a covenant breach, a payment delay, a rating downgrade, a material customer loss, regulatory action, a significant management change, or a sharp deterioration in trading.

13.2 A loan must be placed on the watchlist where any of the following occurs:

- a financial covenant is breached or forecast to be breached within the next two quarters
- interest cover falls below 2.0x on an LTM basis
- a scheduled payment is more than five business days late
- the borrower receives a qualified audit opinion or a going concern note
- the borrower becomes exposed to a prohibited activity under clause 9.3

13.3 For watchlist loans, the portfolio manager prepares a remediation plan for the Investment Committee within 20 business days, and the credit team reports on progress monthly until the loan is removed from the watchlist or restructured.

13.4 Provisioning and valuation follow the fund's valuation policy and applicable accounting standards. Nothing in this policy limits the obligation to recognise credit impairment promptly.

14. Exceptions and breaches

14.1 An exception is a transaction that does not comply with a requirement of this policy. Exceptions are permitted only where the clause expressly refers to this process, and not for prohibited sectors under clause 9.3.

14.2 An exception requires written justification in the IC paper, identifying the clause, the extent of the departure, the mitigants, and the effect on risk and return. It requires approval by at least two-thirds of the quorum and the Chief Credit Officer.

14.3 The Chief Credit Officer maintains an exceptions register and reports it to the Board each quarter. A pattern of exceptions in a single clause is a trigger for review of that clause.

14.4 A breach of this policy discovered after approval or funding must be reported to the Chief Credit Officer within two business days. The Chief Credit Officer determines whether remediation, ratification by the Investment Committee or disclosure to investors is required.

15. Review and version history

15.1 The Chief Credit Officer reviews this policy at least annually and recommends amendments to the Board. Interim changes may be made where required by law, regulation or a material change in market conditions.

15.2 Version 2.0 introduces a higher leverage limit for sponsor-backed transactions with an equity cushion of 40% or more, the 25% customer concentration test, the independent financial due diligence requirement for acquisition facilities, the 1.5x ARR limit for recurring-revenue loans, and the regulatory review for healthcare and aged care borrowers.

Version	Effective date	Summary of change
1.x	Prior to 2026	Original corporate lending standards
2.0	1 January 2026	Sponsor leverage, concentration, ARR, sector and due diligence rules

Table 5: Version history

Approval

Prepared by	Credit Risk function, Quillwood Credit Partners
Reviewed by	Chief Credit Officer
Approved by	Board of Quillwood Credit Partners
Date approved	1 January 2026

Policy sign-off